

We list three general strategies incumbents will likely use in their attempt to capitalize on the potential of blockchain technology.

If You Can't Beat 'Em, Buy 'Em

Toward the end of 2015 and through much of 2016, it seemed as if every single financial services firm was waking up to the potential of blockchain technology to disrupt its industry.

When incumbents feel like they are late and being outmaneuvered by startups, they simply buy or invest in the startups. That is precisely what happened. The list of incumbents investing in bitcoin and blockchain startups accelerated to a frenzied pace starting in late 2015, and continued through the first half of 2016, including Citi, Visa, MasterCard, New York Life, Wells Fargo, Nasdaq, Transamerica, ABN AMRO, and Western Union.²¹

While the investing or takeover strategy has been a go-to for incumbents trying to avoid disruption, it is rarely as effective as hoped. Once the big company swallows the startup, or begins meddling, it is often hard for the startup to retain its fast-moving and flexible culture. Nimble cultures are key to succeeding in the early stages of a disruptive technology, and if the startup is tainted by corporate bureaucracy, then it will quickly lose its edge.

Circle the Wagons

Industry consortiums have been extremely popular among incumbents investigating how to apply distributed ledger